



United States Department of the Interior

INTERIOR BUSINESS CENTER
Washington, DC 20240

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION AUTHORITY: FAR 6.302, 41 U.S.C. 3304

SOLICITATION #140D0425R0002

Pursuant to the requirements of the Competition in Contracting Act (CICA) as implemented by FAR subpart 6.3, Other Than Full and Open Competition, and in accordance with the requirements by FAR 6.303-1, the justification for the use of the statutory authority under FAR subpart 6.3 is justified by facts and rationale required under FAR 6.303-2 as follows.

1. Identification of the agency and the contracting activity, and specific identification of the document as a “Justification for other than full and open competition.”

This document is a justification for other than full and open competition for the Department of the Interior (DOI), Interior Business Center (IBC), Acquisition Services Directorate (AQD), Division III, Branch III, on behalf of Department of Homeland Security (DHS), Science and Technology (S&T) Directorate.

2. Nature and/or description of the action being approved.

This is a follow-on requirement to manufacture and field trial secure shipping containers. This follow-on contract continues and expands on previous Research & Development (R&D) conducted under contracts 140D0420C0095 and 140D0423C0096 awarded to Global Secure Shipping, Inc. (GSS). Contract 140D0420C0095 provided full and open competition through the Government Point of Entry for the research and development of six-sided breach/intrusion detection capabilities in International Organization for Standardization (ISO) certified maritime shipping containers. This contract funded 12 Type 1AAA door-only containers. Under sole source contract 140D0423C0096, DHS funded the building of 48 Type 1AAA door-only secure containers, bringing the total number of door-only secure container available for testing to 60 total, along with 15 Type 1AAA six-sided secure containers. This contract also provided field trials for these 75 secure composite containers. The purpose of this action is to procure an additional 39 Type 1AAA six-sided secure containers under a new sole source contract with GSS to bring the total number of six-sided secure containers available to 54 total, and to provide field trials for these 54 containers.

3. A description of the supplies or services required to meet the agency’s needs (including the estimated value).

This requirement is to procure approximately 39 six-sided secure 1AAA secure shipping containers and provide field trials for the 39 six-sided containers as well as 15 six-sided containers fabricated under the previous contract. Funding will be provided by the Washington Headquarters Service, Defense Production Act Investments (DPAI) Office to support the testing and evaluation of Secure Hybrid Composite Containers (SHCC)

from the FY 2024 Defense Production Act Purchases (DPAP) Appropriation (0360 defense-wide procurement funding), utilizing the Congressional increase entitled “program increase - secure composite shipping containers.” A Presidential Determination (PD), required to execute DPAP funds, for a secure hybrid composite shipping container industrial capability was signed on June 13, 2017. The estimated value for this work is [REDACTED] over a 36-month period. The estimated value includes labor, containers, maintenance, repairs and transportation for continued testing, research, and development.

4. An Identification of the statutory authority permitting other than full and open competition.

FAR 6.302-1 -- Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements. 41 U.S.C. 3304(a)(1)

5. A demonstration that the proposed contractor’s unique qualifications or the nature of the acquisition requires use of the authority cited.

In accordance with FAR 6.302-1(a)(2)(ii), Supplies may be deemed to be available only from the original source in the case of a follow-on contract for the continued development or production of a major system or highly specialized equipment, including major components thereof, when it is likely that award to any other source would result in substantial duplication of cost to the Government that is not expected to be recovered through competition, or unacceptable delays in fulfilling the agency’s requirements. As explained below, award to any vendor other than GSS would lead to both substantial duplication of costs and unacceptable delays.

This follow-on contract continues and expands on previous research and development GSS conducted under contracts 140D0420C0095 and 140D0423C0096. Under contract 140D0420C0095, GSS provided material identification, analysis, manufacturability, and testing; design and development of a Security System for Composite Container; manufacturing Secure composite container Wall components for Installation in a standard container frame; and resin testing. These services were performed over an approximately 32-month period expending [REDACTED] and provided 12 Type 1AAA door-only secure containers. Under contract 140D0423C0096, GSS moved beyond research and development of thermoplastic/thermoset materials and security system design, and expanded the test and evaluation of secure containers to include testing under various real-world conditions. Under this contract, GSS built 48 Type 1AAA door-only secure containers, bringing the total number of door-only secure containers available for testing to 60 total, along with 15 Type 1AAA six-sided secure containers; funding was also provided for field trials of these 75 secure composite containers. Funds in the amount of [REDACTED] were obligated to this contract with a 29-month period of performance. These two DOI-issued contracts also take advantage of GSS’s Technology Investment Agreement (TIA) with Air Force Research Laboratory, which designed the six-sided secure container and achieved ISO certification. The consideration of an alternate vendor to provide the needed containers in a short timeframe and continued testing is estimated to require six years and [REDACTED].

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The current contract only supports field trials of the 12 six-sided secure composite containers through December 2025. With a construction completion date of end-April 2025, only eight months of field trials of these six-sided containers are currently funded. Using an estimate of an average of three container trips per month, this translates into approximately 288 container trips for six-sided containers anticipated for the current duration of the CLIN 0005. This limits the confidence level which DHS will be able to apply towards determining the performance of the six-sided secure composite containers. As an example, the Contract 14D0420C0096 December 2023 report entitled "Container Deployment Report," provided the number of container trips necessary to determine if the Probability of False Alarm (PFA) of the security sensors on the composite containers are at or below 0.10%. 693 container trips would be necessary to determine this performance at a low confidence rate of 50%; increasing the number of container trips to 1560 would enable one to determine this performance at a much higher rate of confidence of 79%. Increasing the number of containers available for field trials and the period of performance using the values above would be expected to increase the number of container trips for six-sided secure composite containers by 2808 from 288 to 3096 total container trips. This increase would allow DHS to determine a PFA of 0.1% to a confidence as high as 95%, a significant increase over what is currently possible with the existing contract. Only by increasing the funding and period of performance of the existing contract will DHS be able to assess the performance of these containers to a high level of confidence.

In addition to the improvements in the statistical analysis achievable with the additional containers/extension of trials, an extension of the field trial period of performance would allow GSS to observe an entire year of temperature variation for the six-sided secure composite containers not possible under contract 14D0420C0096. For example, a number of door-only secure composite containers are currently located to [REDACTED] and will remain there throughout the extreme arctic winter returning to the Continental United States (CONUS) approximately April 2025. It is not possible to perform a similar study using the six-sided secure composite containers due to the low quantities being procured under contract 14D0420C0096; the contract period of performance is also not sufficient as the return trip from [REDACTED] only occurs once per year. Only with a new sole source contract will DHS be able to assess the performance of these six-sided secure composite containers in extreme cold.

GSS is the owner of "Technical Specifications SHCC ISO 1AAA Dry Cargo (40' x 8';x 9'6")", Specification Number SHCC-G2-45G1, Rev. 01e, a key factor required for this effort and not available to distribute to interested parties. Finally, GSS has established a manufacturing facility, capable of building an estimated 1000 twenty-foot equivalent units (TEUs) of composite containers annually, allowing for fabrication of the required units in under a short time period. These capabilities are not available from any other vendor in the industry.

In summary, no other vendor is currently capable of meeting the Government's
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requirement to manufacture additional six-sided secure 1AAA secure shipping containers meeting the specifications of the SHCC and provide field trials for these containers as well as 15 six-sided containers fabricated under the previous contract. Award to any source other than GSS would result in substantial duplication of costs as well as unacceptable delays in fulfilling the agency's requirements.

6. A description of efforts made to ensure that offers are solicited from as many potential sources as is practicable, including whether a notice was or will be publicized as required by Subpart 5.2 and, if not, which exception under 5.202 applies.

An Intent to Sole Source Notice meeting the synopsis requirement at FAR 5.202 was publicized on the System for Award Management (SAM) on September 18, 2024. The notice advised industry that the Government was considering a sole source contract award to purchase 39 six-sided secure 1AAA secure shipping containers and provide field trials for these as well as 15 six-sided containers fabricated under the previous contract. Interested vendors were requested to respond with capabilities and qualifications to perform no later than October 4, 2024, at 2:00 PM. Only one vendor responded to the notice.

On October 2, 2024, one vendor responded OPNBar, a company that provides safety tools. The PM reviewed and determined this was not technically acceptable on October 7, 2024.

This Justification for Other than Full and Open Competition will be made available on the Government Point of Entry within 14 days after contract award.

7. A determination by the contracting officer that the anticipated cost to the Government will be fair and reasonable.

In accordance with FAR 15.402, the Contracting Officer shall ensure that all supplies provided under the contract are procured at a fair and reasonable price. The contractor will submit a cost proposal with certified cost or pricing data and sufficient information to support the accuracy and reliability of the estimate. The Contracting Officer will review and evaluate each of the separate cost elements and profit or fee in the contractor's proposal. In conducting the evaluation, the Contracting Officer will compare the costs proposed by the offeror for individual cost elements with actual costs previously incurred by the same offeror, previous cost estimates from the offeror and other offerors for the same or similar items; and Independent Government cost estimates by technical personnel.

8. A description of the market research conducted (see Part 10) and the results or a statement of the reason market research was not conducted.

DOI previously issued a Sources Sought Notice on March 23, 2023. One response was received from GSS. In addition, an Intent to Sole Source Notice was publicized on SAM on September 18, 2024. Only one vendor responded to the notice and the response was determined to be not relevant to the DHS SHCC project.

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9. Any other facts supporting the use of other than full and open competition:

- a. The objective of the Department of Homeland Security's Secure Shipping Project is to develop advanced capabilities to address supply chain security. Part of this work includes combating systemic transnational criminal activity to eliminate the flow of narcotics, crime, and violence into the United States, while intercepting outbound illicit profits. This starts at the land and maritime ports of entry, where DHS is vigilantly inspecting inbound cargo. In-transit supply chain security continues to be a challenge for protecting shipments from the point of stuffing to the point of deconsolidation via U.S. Ports of Entry. By developing and deploying intermodal shipping containers that are secure from origin to destination, preventing the removal of tampering of materials and introduction of threats, the US supply chain will benefit through the reduction or elimination of inspections of containers at ports of entry and ensure the security of sensitive cargo. Deployment of these shipping containers will increase supply chain security and delay in deployment of the shipping containers prolongs the deficiencies and security issues. Assuming another source could be identified that can meet the shipping container specifications, at a minimum, the use of a source other than GSS would prolong the deployment by 6 years for the acquisition, research and development, manufacturing, testing of first articles and continued manufacturing thereafter.
- b. Selecting an alternate vendor to provide the needed containers and continued testing is estimated to cost [REDACTED]. This estimate is based on the costs associated with the two predecessor contracts issued by DOI as well as a [REDACTED] TIA issued by Air Force Research Laboratory and consists of additional costs for research and development, ISO certification, and manufacturing capability improvement which was not found in any other sources.

10. A listing of the sources, if any, that expressed, in writing, an interest in the acquisition.

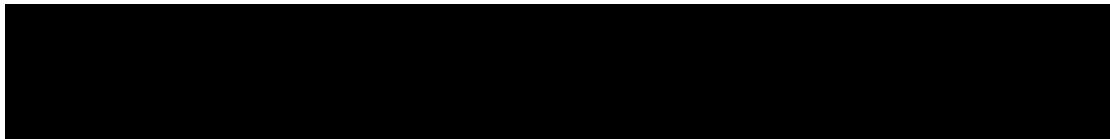
One vendor responded to the Intent to Sole Source Notice posted on SAM on September 18, 2024. This vendor, Shipping Container Safety International Inc, provided marketing information regarding its shipping container safety tool. This information was reviewed by the Contracting Officer and the Program Manager and determined to be not relevant to the DHS SHCC project.

11. A statement of any actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required.

Market research will continue to be conducted for the development of new technology that meets or exceeds agency needs. However, at this time there is no reasonable expectation that barriers to competition can be removed for the foreseeable future based on the proprietary nature of the research and development that was conducted to develop the shipping containers capable of obtaining ISO certification.

12. Contracting officer certification that the justification is accurate and complete to the best of the contracting officer's knowledge and belief.

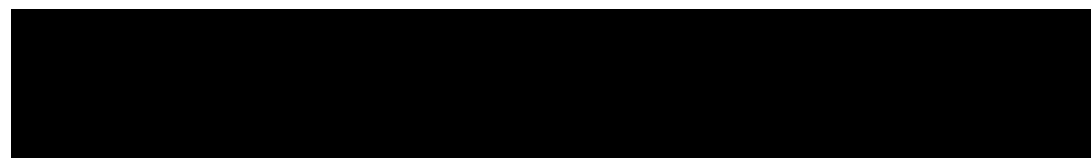
I certify that this justification is accurate and complete to the best of my knowledge and belief.



Contracting Officer

13. Requirements personnel certification.

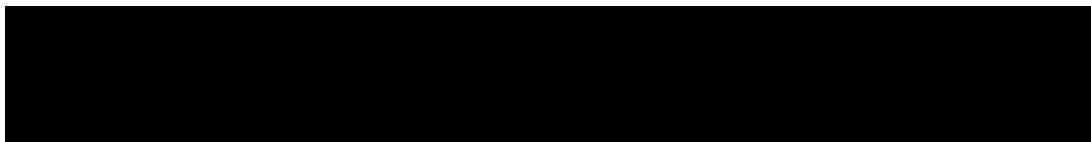
I certify that the technical data which forms a basis for this justification is complete and accurate and meets the Government's minimum needs.



DHS S&T Program Office

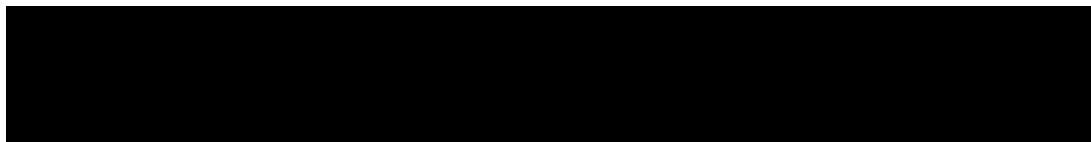
14. Reviews and Approvals

Concur



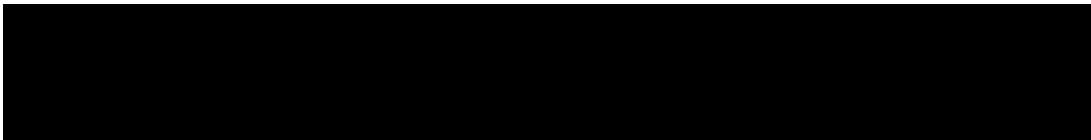
Branch Chief

Concur



Division Chief

Approve



Bureau Competition Advocate